

CHAPTER 1

WHAT ECONOMICS IS ABOUT



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In This Lesson I

- Goods and Bads and Resources
- Scarcity —————> kekurangan
- Opportunity Costs —> kos lepas
- Costs and Benefits
- Decisions Made at the Margin



To select a topic, click on its link above

In This Lesson II

- Efficiency
- Incentives
- Unintended Effects
- Exchange

In This Lesson III

- The market and the Government
- Ceteris Paribus
- Theory
- Economic Categories

Building A Definition of Economics

~ Goods and Bads ~

Ap-? yg orang deposit
melaku? banking ini

- Good - Anything from which individuals receive utility or satisfaction
- Utility - The satisfaction one receives from a good
- Bad - Anything from which individuals receive disutility or dissatisfaction
- Disutility - The dissatisfaction one receives from a bad

Click to return
to "In this
Lesson"

Building A Definition of Economics

~ Resources ~

Land - All natural resources, such as minerals, forests, water, and unimproved land



[Click to return
to "In this
Lesson"](#)

Building A Definition of Economics

~ Resources ~

Tidak yang terlibat

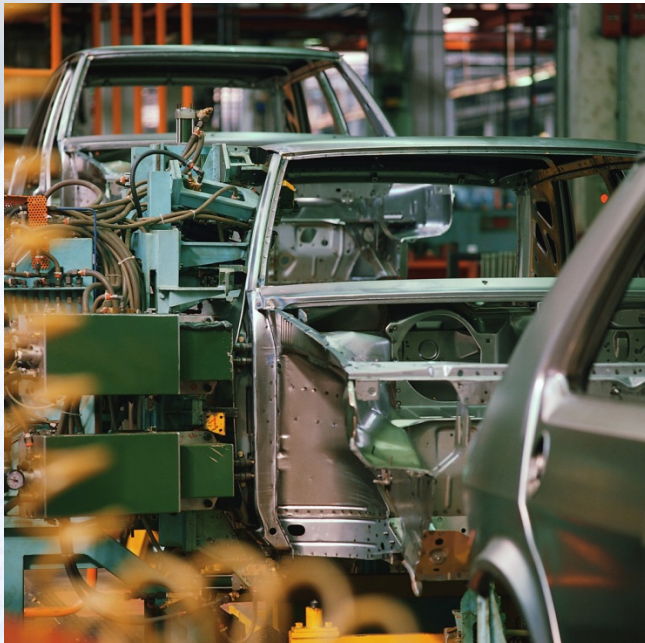
Labor - The
physical and mental
talents people
contribute to the
production process



[Click to return
to "In this
Lesson"](#)

Building A Definition of Economics

~ Resources ~



↳ Mesin yang mengeluarkan barang

Capital - Produced goods that can be used as inputs for further production, such as factories, machinery, tools, computers, and buildings

— Marketing Punting ?

[Click to return to "In this Lesson"](#)

Building A Definition of Economics

~ Resources ~

Organized

Entrepreneurship - The particular talent that some people have for:

- organizing the resources of land, labor, and capital to produce goods
- seeking new business opportunities
- developing new ways of doing things

Scarcity

— *Keinginan* > *Resource*

The condition in which **our wants** are **greater than the** **limited resources** available **to satisfy** **those wants**



[Click to return
to "In this
Lesson"](#)

Economics, the Science of Scarcity

The science of how individuals and societies deal with the fact that wants are greater than the limited resources available to satisfy those wants.



- originate their wants with the limited resources to fulfill their satisfaction

Scarcity's Effects

1. The Need to Make Choices
2. The Need for a Rationing Device
3. Competition



have hard choices

allocation method

You will get the thing

the price

Who are willing to pay

[Click to return to "In this Lesson"](#)

Rationing Device

A rationing device is a means of deciding who gets what of available resources and goods. An example of a rationing device would be the 'dollar price'. The people who pay the dollar price for a new car end up with one



[Click to return
to "In this
Lesson"](#)

Opportunity Costs

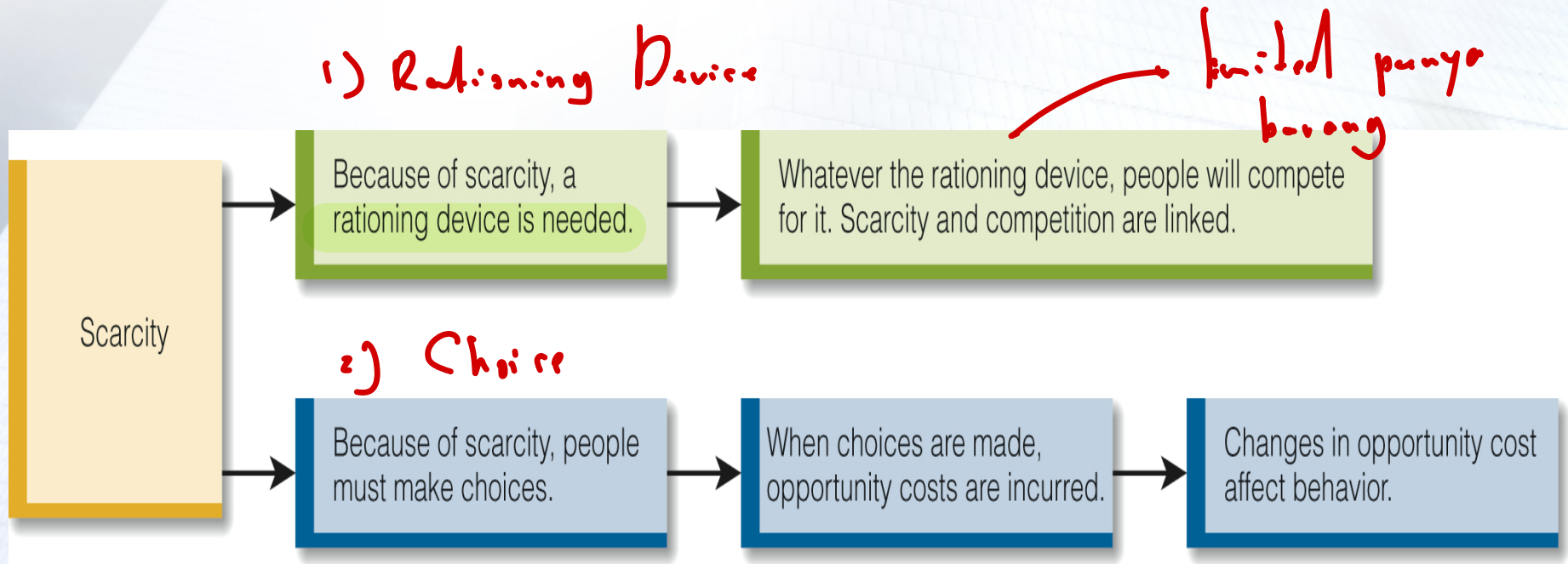
— n K₁₅ lepas



- The most highly valued opportunity or alternative forfeited when a choice is made.
- Economists believe that a change in opportunity cost can change a person's behavior.
- The higher the opportunity cost of doing something, the less likely it will be done.

C₁ Gaji 7k paku decide nk buat business,
tapi bano tinggal keje - so dia pilih
C₂ bano 1k, dan Om

Scarcity, Choice and Opportunity Costs



Marginal Benefits

Additional benefits. The benefits connected to consuming an additional unit of a good or undertaking one more unit of an activity.

↑ Q, ↑ Benefits

Marginal Costs

Additional costs. The costs connected to consuming an additional unit of a good or undertaking one more unit of an activity.

↑ Unit, ↑ Cost

Decisions at the Margin

Decision making characterized by weighing the additional (marginal) benefits of a change against the additional (marginal) costs of a change with respect to current conditions

$$MB = MC$$

Study or Play



study



Cost

Play

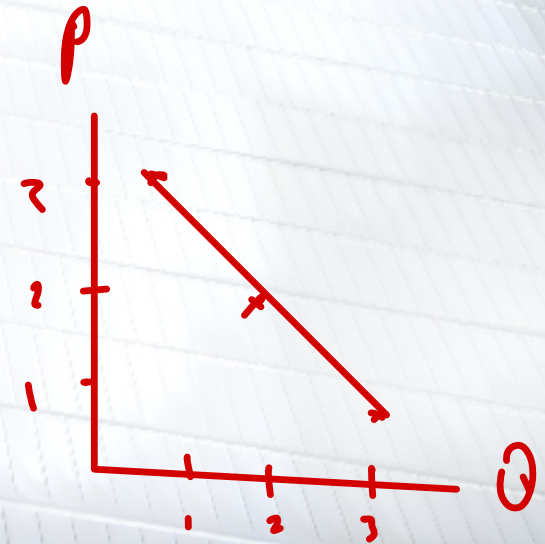
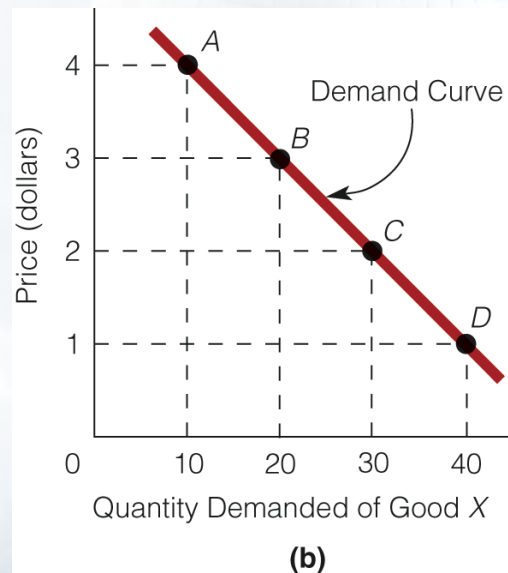
Benefit

[Click to return
to "In this
Lesson"](#)

Graphing Workshop

Working with Graphs

Click graph to watch tutorial

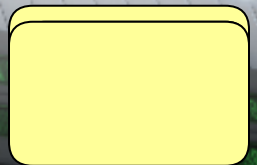
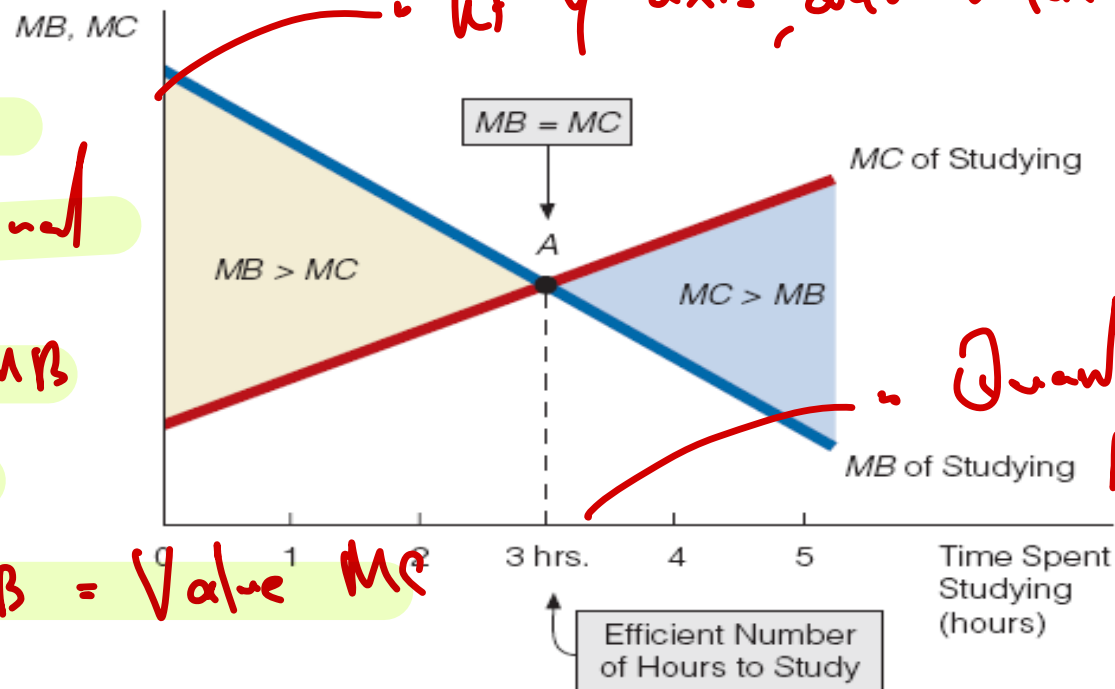


Efficiency

MB = marginal benefits and MC = marginal costs. In the exhibit, the MB curve of studying is downward sloping and the MC curve of studying is upward sloping. As long as $MB > MC$, the person will study. The person stops studying when $MB = MC$. This is where efficiency is achieved.

- Plot equate
two Marginal
between MB
and MC

- Value MB = Value MC



Incentives

Encourage

Something that encourages or motivates a person to take an action.

↳ something encourage a person to take action



Unintended Effects

— hasan lun selin fin
dan orang

- A positive or negative outcome that was not anticipated



Exchange/Trade

The process of giving up one thing for another.

- Bagi duit, kita dapat barang
- Ambil barang, dapat duit



The Market and Government Addressing Issues

Humanity
- Government
3 U
Consumer = satisfaction

- Financial problems in the banking sector
- The economic effects of falling real estate prices
- Growing federal budget deficits
- A fall in economic activity, as measured by the total output of goods and services produced in the country
- Rising unemployment
- The looming crisis in Social Security
- Health-care issues
- Issues related to climate change and the environment
- The proper role of monetary policy
- The proper role of government regulatory policy in the economy, and much more

Firm = Profit

↓ Output

↑ Crisis social Security
↑ Issues Health Care

[Click to return to "In this Lesson"](#)

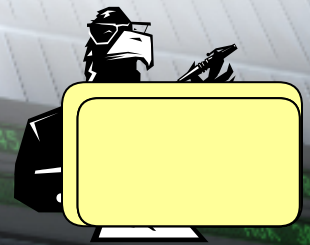


The Market and Government

When it comes to economic problems, the national debate usually proceeds along these lines:

- First, the problem is *identified and defined or described*.
- Second, individuals attempt to identify the *cause of the problem*.
- Third, individuals propose *solutions to the problem*.

[Click to return
to "In this
Lesson"](#)

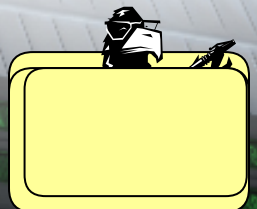


The Market and Government

With respect to both the cause and the solution, we often hear two words mentioned: the “market” and “government.”

- Either: The market (or capitalism) is the cause of the problem.
- Or: The government is the cause of the problem.
- Either: The market (or capitalism) is the solution to the problem.
- Or: The government is the solution to the problem.

[Click to return
to “In this
Lesson”](#)



Ceteris Paribus

Contoh "ceteris paribus" dalam hubungan antara harga dan kuantiti adalah seperti berikut:

Misalkan harga sebuah barangan meningkat. Ceteris paribus, kita boleh meramalkan bahawa kuantiti yang diminta akan berkurang kerana pengguna cenderung membeli kurang apabila harga tinggi. Dalam analisis ini, kita menganggap semua faktor lain (seperti pendapatan pengguna dan harga barang lain) tetap sama.

Sebaliknya, jika harga menurun, ceteris paribus, kuantiti yang diminta mungkin akan meningkat. Ini membantu dalam memahami hubungan asas antara harga dan kuantiti tanpa gangguan dari faktor lain.

A Latin term meaning "all other things constant" or "nothing else changes."

Ceteris paribus is an assumption used to examine the effect of one influence on an outcome while holding all other influences constant.

Theory

- Teori tuh menjawab. - if repeatable
- tapi menjangkau sesuatu - law of demand
yg difahami oleh semua and supply

Economists build theories to answer questions that do not have obvious answers.

- Bundle yang akan spent

Cause



Effect

Theory is an abstract representation of the real world designed with the intent to better understand the world.

[Click to return
to "In this
Lesson"](#)

Abstract

The process (used in building a theory) of focusing on a limited number of variables to explain or predict an event.

Amih Contoh cam price and quantities

Nih j
tag sh



Economic Categories

Positive vs. Normative Economics

Positive - The study of "what is" in economic matters.

Cause



Cause → Effect

Hujan paku pering

Normative - The study of "what should be" in economic matters

Judgment **and** Opinion

- the student are good
because he has a perfect
background of study

suka ditanya

- Education can offer a high pay

Contoh "ceteris paribus" dalam hubungan antara harga dan kuantiti adalah seperti berikut:

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[Click to return to "In this Lesson"](#)

Economic Categories

Microeconomics

Microeconomics deals with human behavior and choices as they relate to relatively small units—an individual, a business firm, an industry, a single market.



deal with
Human Behavior

and Choice

relate
with small
unit

Microeconomic Questions

- How does a market work?
- What level of output does a firm produce?
- What price does a firm charge for the good it produces?
- How does a consumer determine how much of a good he or she will buy?
- Can government policy affect business behavior?
- Can government policy affect consumer behavior?

[Click to return
to "In this
Lesson"](#)

Economic Categories Macroeconomics

Macroeconomics deals with human behavior and choices as they relate to highly aggregate markets (e.g., the goods and services market) or the entire economy.

↳ Pengangguran

- Inflasi!

- Gdp

4344.0	4239.0	3241.0	2872.0	2642.0	2476.0
3743.0	3110.0	3.6%	5.0%	3340.0	3618.0
3335.0	4.5%	2.7%	7.8%	11.2%	12.2%
1.9%	4.4%	NMF	9.6%	15.6%	17.5%
NMF	NMF	NMF	30%	30%	30%
NMF	NMF	NMF			

[Click to return to "In this Lesson"](#)

Macroeconomic Questions

- How does the economy work?
- Why is the unemployment rate sometimes high and sometimes low?
- What causes inflation?
- Why do some national economies grow faster than other national economies?
- What might cause interest rates to be low one year and high the next?
- How do changes in the money supply affect the economy?
- How do changes in government spending and taxes affect the economy?

Wall Street Journal

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<http://www.wsj.com>



Other Useful Sources of Current Economic News

New York Times

<http://www.nytimes.com/pages/business/index.html>

Financial Times

<http://www.ft.com/home/us>

The Economist

<http://www.economist.com/index.html>